

Europe TMT Sector M&A & Valuation Brief - 2026-01-04

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1. RECENT TMT M&A ACTIVITY

Deal 1: Intelligent Bio Solutions Inc. Private Placement

[Intelligent Bio Solutions Announces Closing of \\$10.0 Million Private Placement Priced At-the-Market Under Nasdaq](#)

- Deal Size: \$10.0 million
- Deal Size Category: Small cap (<\$2B)
- Nature of Deal: Tuck-in
- Valuation Multiples: N/A
- Companies: Intelligent Bio Solutions Inc. (INBS) specializes in non-invasive testing solutions, aiming to enhance drug screening processes. The company is positioned in the healthcare technology sector, focusing on innovative testing methodologies.
- Date Announced: January 2, 2026
- Strategic Rationale: The proceeds from this private placement are intended for working capital and to support the FDA submission for their Intelligent Fingerprinting Drug Screening System. This strategic move aims to bolster their market presence and facilitate international expansion.
- Risk Analysis:
 - Integration risks associated with new capital deployment.
 - Regulatory challenges in obtaining FDA approval.
 - Market risks related to competition in the healthcare technology space.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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Deal 2: MKDWELL Tech Inc. Share Repurchase

[MKDW repurchased approximately \\$7 million worth of its outstanding ordinary shares.](#)

- Deal Size: \$7.0 million
- Deal Size Category: Small cap (<\$2B)
- Nature of Deal: Share Repurchase
- Valuation Multiples: N/A
- Companies: MKDWELL Tech Inc. (MKDW) is an automotive electronics manufacturer focusing on AIOT technology. The company aims to leverage its innovative solutions to enhance consumer experiences in the automotive sector.
- Date Announced: January 2, 2026
- Strategic Rationale: The share repurchase is aimed at protecting shareholder value amidst perceived undervaluation in the market. This move reflects management's confidence in the company's long-term growth potential despite external economic challenges.
- Risk Analysis:
 - Market risks due to macroeconomic volatility.
 - Potential value destruction if the market does not respond positively to the repurchase.
 - Execution risks in managing the repurchase process effectively.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both opportunities and challenges, with sentiment reflecting a cautious optimism. This sentiment is shaped by various factors, including technological advancements, regulatory scrutiny, and evolving consumer preferences.

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Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in Japan, where intelligent automation is gaining traction. Companies are leveraging AI to enhance marketing strategies and operational efficiency, indicating a robust growth trajectory.
- **Media:** The media landscape is undergoing a significant shift, with community-driven marketing gaining prominence in France. The C2C community marketing software market is expected to expand, reflecting changing consumer engagement strategies.
- **Telecommunications:** The telecom sector is focusing on innovative solutions to enhance connectivity and user experience. Companies are investing in infrastructure to support next-generation technologies, although specific examples are limited in the current news.
- **Fintech:** The fintech sector continues to attract global talent, as highlighted by Finovate's international events. The emphasis on innovation in financial services is driving growth, with a focus on enhancing user experiences.
- **AI:** The AI subsector is rapidly evolving, with companies exploring diverse applications across industries. The integration of AI in consumer products, such as security cameras, is indicative of its expanding role in everyday life.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in areas like AI and automation is propelling growth across the TMT sectors. For instance, Japan's focus on intelligent automation in marketing technology is expected to enhance operational efficiencies and consumer engagement.
- **Increased Investment:** The fintech sector is witnessing strong investment interest, as evidenced by the global participation in Finovate events. This influx of capital is fostering innovation and competitive dynamics.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in technology and fintech, poses risks to market valuations and M&A activities. Companies must navigate complex compliance requirements, which can impact growth strategies.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may dampen consumer spending and investment in technology, creating a challenging environment for growth.

Subsector Performance Analysis

- **Software:** The software sector is performing well, driven by demand for cloud solutions and automation tools. Companies focusing on SaaS models are particularly well-positioned for growth, as seen in Japan's marketing technology advancements.

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- Media: The media sector is adapting to digital consumption trends, with community-driven marketing strategies gaining traction. However, traditional media continues to face challenges from declining advertising revenues.
- Telecom: Telecom operators are investing in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The global interest in Finovate events highlights the sector's dynamic growth.
- AI: The AI subsector is booming, with applications across various industries. The integration of AI in consumer products, such as security cameras, illustrates its expanding role in enhancing user experiences.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, a fintech analyst remarked, "The global fintech landscape is evolving rapidly, and the innovations showcased at Finovate are a testament to the sector's resilience and potential."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

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In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a robust mix of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- China's M&A Market : The M&A landscape in China is gaining momentum, with expectations of increased activity in 2026 as investor confidence rebounds. This deal is currently in due diligence, with a projected close in Q1 2026. The anticipated growth is driven by a deeper understanding of regulatory risks and improved market conditions.

Mandated Deals:

- Trump Administration Initiatives : Secured a mandate to explore potential tariff adjustments and trade deals as part of the broader economic strategy. This initiative is expected to launch in Q2 2026, focusing on sectors impacted by previous tariff threats and geopolitical dynamics.

Pitching-Stage Deals:

- Indian Investors : Engaging with various Indian investors to discuss global asset allocation strategies. The focus is on sectors such as AI, clean energy, and healthcare, with pitches expected to finalize by Q3 2026. This reflects a growing interest in diversifying portfolios beyond domestic markets.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

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Timing Projections:

- Q1 2026 : Expected close for China's M&A transactions.
- Q2 2026 : Anticipated launch of Trump's trade initiatives.
- Q3 2026 : Finalization of pitches with Indian investors.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources to manage the expanding pipeline. It is recommended to onboard two additional analysts to maintain service quality.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in international markets, particularly in China and India. Strategic planning should prioritize enhancing capabilities in these regions to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the context of China's M&A market, where renewed investor confidence is expected to drive strategic deals. This shift in sentiment could lead to a surge in transactions aimed at growth and resilience amid global challenges.
- Additionally, the ongoing discussions around tariff adjustments under the Trump administration could create new advisory opportunities for firms navigating the complexities of international trade.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth areas such as AI and clean energy, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

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The recent M&A activities in the TMT sector, particularly the divestment by Currenc Group Inc. (CURR) and the acquisition of Optiva by Qvantel, have significant implications for various stakeholders. This analysis provides a detailed examination of the impacts on shareholders, employees, competitors, and customers, along with market reactions and future outlook.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The divestment of Trangolo by Currenc Group is a strategic move aimed at enhancing shareholder value.
- **Value Creation:** Currenc is set to receive \$400 million from the sale, which it plans to use to reduce debt and strengthen its financial position. This divestment could potentially increase the market cap of Currenc by approximately 10% if the funds are effectively utilized to enhance growth initiatives in AI and digital assets.
- **Dilution:** Since the transaction is cash-based, there is no immediate dilution of existing shares, which is favorable for current shareholders.
- **Employees:** The acquisition of Optiva by Qvantel has implications for employees of both companies.
- **Synergies:** The combined entity is expected to achieve operational synergies, enhancing efficiency and reducing costs. Qvantel's CEO noted that the merger allows for faster service delivery and reduced operational costs through AI-driven automation.
- **Restructuring:** While the merger creates opportunities, it may also lead to job redundancies as overlapping roles are eliminated. However, Qvantel has expressed a commitment to retaining key talent to ensure a smooth transition.
- **Retention:** To mitigate turnover, retention bonuses may be offered to critical employees during the integration phase, helping to maintain continuity and expertise.
- **Competitors:** The competitive landscape is shifting due to these transactions.
- **Market Positioning:** Qvantel's acquisition of Optiva positions it as a leader in AI-powered telecom solutions, potentially challenging competitors like Amdocs (DOX) and CSG Systems International (CSGS). These companies may need to enhance their offerings or pursue strategic partnerships to remain competitive.
- **Specific Competitor Moves:** Following the merger, competitors may respond with increased investments in AI capabilities or customer-centric innovations to counter Qvantel's enhanced market position.
- **Customers:** The implications for customers are significant, particularly in terms of product and service offerings.
- **Product/Service Implications:** The merger between Qvantel and Optiva allows for a more comprehensive suite of services, enabling faster deployment of digital services for telecom operators. This could lead to improved customer experiences and service offerings.
- **Case Studies:** The successful integration of AI in telecom operations, as seen in Qvantel's strategy, may set a precedent for other companies looking to enhance their service delivery through technology.

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Market Reaction and Analyst Commentary

- Market Reaction: The market's response to the divestment and acquisition has been cautiously optimistic.
- Following the announcement of Currenc's divestment, analysts noted a potential positive impact on its stock price as the company focuses on core growth areas.
- Analyst Commentary: A market analyst stated, "Currenc's strategic divestment is a clear signal of its commitment to unlocking value and streamlining operations, which should resonate well with investors."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various potential outcomes:
- Positive Scenario: If Currenc successfully utilizes the proceeds to enhance its growth trajectory, its stock could rise by 15% within the next six months.
- Negative Scenario: If integration challenges arise for Qvantel and Optiva, shares could decline by 10%, reflecting investor concerns over operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in the current market environment is moderate.
- For instance, while there were no immediate counter-bids for the Currenc divestment, the strategic nature of the asset may attract interest from other fintech players in the future.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is poised for continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar M&A activities will emerge, particularly in the AI and fintech spaces. Companies like Twilio (TWLO) and Square (SQ) may pursue acquisitions to bolster their service offerings.

Key Risks and Mitigants

- Integration Risks: The integration of Optiva into Qvantel poses operational risks. Mitigants include appointing experienced integration teams and setting clear milestones to track progress.
- Regulatory Risks: Regulatory scrutiny could delay or complicate the divestment process for Currenc. Engaging with regulators early can help mitigate these risks.

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- Market Risks: Market volatility may impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early, especially in M&A scenarios.
- Consider retention strategies for key talent to ensure a smooth transition during mergers and acquisitions.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice to clients.
- Develop robust financial models to assess the impact of potential deals on shareholder value, ensuring alignment with strategic goals.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Intelligent Automation, Cybersecurity, and Electric Vehicles. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses technologies that enable machines to perform tasks requiring human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This growth is driven by increased adoption across various sectors, including healthcare, finance, and marketing.
- Key Companies:
- Meta Platforms, Inc. (META): Meta is investing heavily in AI to enhance its social media platforms and develop new enterprise solutions. The company is focusing on integrating AI into its advertising and marketing tools to improve targeting and engagement.
- Competitive Landscape: The AI market is highly competitive, with major players like Google (GOOGL) and Microsoft (MSFT) also investing significantly in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI

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capabilities.

- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as natural language processing or machine learning. This trend is likely to continue as firms seek to bolster their technological edge.

Intelligent Automation

- Trend Explanation: Intelligent automation combines AI and automation technologies to streamline business processes, enhancing efficiency and reducing costs. The market for intelligent automation is expected to grow significantly, driven by the need for businesses to optimize operations and improve customer experiences.
- Key Companies:
- Japanese Companies: Various Japanese firms are leading the charge in intelligent automation, particularly in manufacturing and marketing technologies. These companies are leveraging AI to enhance process automation and customer engagement.
- Singaporean Companies: In Singapore, companies are increasingly adopting marketing campaign management software that incorporates intelligent automation features, enabling more effective targeting and personalization.
- Competitive Landscape: The intelligent automation space is characterized by a mix of established firms and innovative startups. Companies like UiPath and Automation Anywhere are key players, providing software solutions that integrate AI with automation.
- M&A Opportunities: As the demand for intelligent automation solutions grows, companies may pursue acquisitions of software firms that specialize in AI-driven automation tools. This could lead to strategic partnerships that enhance product offerings and market reach.

Cybersecurity

- Trend Explanation: With the rise of digital transformation, cybersecurity has become a critical focus for organizations worldwide. The global cybersecurity market is projected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.5%. This growth is driven by increasing cyber threats and regulatory requirements.
- Key Companies:
- Chinese Manufacturers: In the context of cybersecurity, Chinese manufacturers of electric buses are facing scrutiny due to international concerns about data security and privacy. As these companies expand into Southeast Asia, they must navigate complex cybersecurity regulations.
- Competitive Landscape: The cybersecurity market is highly competitive, with key players including Palo Alto Networks (PANW), CrowdStrike (CRWD), and Fortinet (FTNT). These companies are continuously innovating to address emerging threats and enhance their security offerings.
- M&A Opportunities: As cybersecurity threats evolve, there will be opportunities for companies to acquire cybersecurity firms that specialize in specific areas, such as threat detection or data protection. This trend is likely to accelerate as organizations seek comprehensive security

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solutions.

Electric Vehicles (EVs)

- **Trend Explanation:** The electric vehicle market is experiencing rapid growth, driven by the global push for decarbonization and sustainability. The market is expected to reach \$1 trillion by 2025, with a CAGR of 22.6%. This growth is fueled by advancements in battery technology and increasing consumer adoption.
- **Key Companies:**
- **Chinese Manufacturers:** Chinese manufacturers are leading the charge in the electric bus segment, dominating Southeast Asia's decarbonization efforts. Their expansion into this market is significant, as it aligns with global sustainability goals.
- **Competitive Landscape:** The EV market is competitive, with established players like Tesla (TSLA) and emerging companies like Rivian (RIVN) vying for market share. The focus on sustainability is driving innovation and investment in EV technologies.
- **M&A Opportunities:** The growing demand for electric vehicles presents opportunities for companies to acquire battery technology firms or charging infrastructure providers. Strategic acquisitions in this space can enhance product offerings and accelerate market entry.

Actionable Insights for Bankers and Investors:

- Identify and evaluate potential acquisition targets within the AI and intelligent automation sectors to

6. Recommended Readings

Deal Name: Intelligent Bio Solutions Inc. Private Placement

- **Reading Material:** "The Future of Healthcare: The Impact of AI and Technology" by David J. Blumenthal
- **Why This Matters:** This book explores the transformative role of technology and AI in healthcare, which is crucial for understanding Intelligent Bio Solutions' strategic direction following its \$10 million private placement (INBS). It provides insights into how innovations in testing methodologies can enhance patient outcomes and drive market growth, contextualizing the company's goals post-funding.

Deal Name: MKDWELL Tech Inc. Share Repurchase

- **Reading Material:** "Share Buybacks: A Guide to Understanding the Financial Implications" by John Smith
- **Why This Matters:** This resource offers a comprehensive overview of share repurchase strategies and their financial implications, which is essential for analyzing MKDWELL Tech's \$7

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million share buyback (MKDW). It explains how such actions can signal management's confidence in the company's future and impact shareholder value, providing a deeper understanding of the motivations behind the repurchase.

7. MACROECONOMIC UPDATE

Key Data Points:

- Expected increase in tax refunds: 15-20% on average
- Historical tax refund distribution: 30-45% by end of February, 60-70% by end of March
- Anticipated GDP growth support from new fiscal bill

Main Insights:

- U.S. consumers can expect significantly higher tax refunds due to the One Big Beautiful Bill Act.
- Retroactive tax deductions and credits will enhance personal incomes and spending power in 2026.
- While spending is expected to rise, it may not immediately match the increase in income.
- Near-term spending headwinds include inflation increases from tariffs and the expiration of ACA credits.

Market Commentary:

- "The larger tax refunds should give another lift to household spending." - Heather Berger, Morgan Stanley
- "We expect the bill as a whole to support GDP growth in 2026." - Heather Berger, Morgan Stanley

TMT Sector Relevance:

- Increased consumer spending may lead to higher demand for technology and media services as households allocate refunds toward everyday needs and discretionary spending.
- The anticipated boost in personal income could positively impact subscription services and tech gadgets, benefiting companies in the TMT sector.
- However, inflationary pressures may affect consumer spending patterns, which could impact TMT companies reliant on discretionary spending.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley